Stonewater Group X Paragon Capital -- Summary & Recommendation 4/16/2026

DEAL SNAPSHOT

Borrower		MRW Investors, LLC
Location		Westlake, TX
Est. Closing Date		05/01/2026
Facility Type		Multi-Tranche/Revolver
Total Commitment	$	**20,000,000**
Origination Fee (%)		1.50%
Term		24 mo + 6 mo extension
Security		1st Lien all collateral pools

KEY METRICS

Total Collateral (Downside)	$	35,318,750
Total Collateral (As-Is)		49,473,535
Total Collateral (Complete)		71,098,535
Blended LTV (Downside)		56.63%
Blended LTV (As-Is)		40.43%
Blended LTV (Complete)		28.13%
Minimum Interest (Recc)		50% of Gross Potential
Minimum Interest Estimate ($)		**1,955,621**

FACILITY STRUCTURE BY TRANCHE

Tranche	Amount		Rate Structure		Security	Collateral Value		LTV/LTC
		Type	Spread	Floor				
Phase III (Lots)	$	9,750,000	SOFR	675	10.00%	1st DoT - 51 lots + parking	$ 23,637,500	41.25%
Restaurant Row		3,000,000	SOFR	625	10.00%	1st DoT - 2 retail bldgs	13,336,035	22.50%
Townhome Development		6,033,064	SOFR	700	10.00%	1st DoT - townhomes (Land Value)	12,500,000	48.26%
Total		**18,783,064**	**SOFR**	**675**	**10.00%**		**49,473,535**	**37.97%**

SOURCES

Paragon Capital Credit Facility	$	20,000,000
Sponsor Equity at Close		550,000
Total		**20,550,000**

USES

Refi Trez Capital (Phase III)	$	9,750,000
Refi 707 WA Investor (Rest Row)		3,000,000
Refi Goldstone (MRW Investors)		2,533,064
Payoff Bolour (prior lien)		3,500,000
Interest Reserve		1,216,936
Origination Fee		300,000
Closing Costs / Legal (est)		250,000
Total		**20,550,000**

BUSINESS PLAN

Paragon Capital is evaluating a senior, first-lien financing secured by a diversified real estate portfolio within the Entrada master-planned community in Westlake, Texas. The financing is intended to refinance existing debt, enhance capital structure efficiency, and facilitate orderly asset-level monetization.

Approximately $18.7 million will be funded at closing to refinance existing loans, of which ~$6.0 million to be structured as a revolving credit facility ("Revolver") towards governed townhome construction draws. Approximately $1.2 Million will fund an interest reserve account at close to be applied towards paymentsfor the 1st Seven (7) months. Interest will accue on the total loan balance inclusive of the interest reserve.Sponsor equity at close represents costs outside of the loan proceeds (Origination fee to the lender & estimated legal/closing costs); substantial prior land and infrastructure equity is embedded in the collateral.

Primary repayment is expected from 51 substantially completed Phase III lots under executed purchase agreements with rolling takedowns, underwritten conservatively to a 12-month sell-off generating approximately $22.0 million of net proceeds, sufficient to fully repay the lot tranche, which will include minimum interest protection. Restaurant Row, consisting of two retail buildings with leasing underway and an ~$11.0 million cost basis, provides secondary and tertiary repayment support through refinance or sale but is not required for base-case repayment. The townhome component supports Phase I development of 21 permit-ready units, structured as a controlled revolver with an 85% sales-based release, with approximately 12 units underwritten for sale within the initial term; land is underwritten at as-is value only.

Repayment shall be structured through a lender-controlled, multi-source waterfall comprised of lot sales, governed townhome unit sales, and retail refinance or disposition.

RECOMMENDATION

We recommend structuring the financing as a **Single, Cross-Collateralized Senior Credit Facility with Internally Segmented Tranches**, rather than a traditional unitranche with a blended coupon. This approach provides unified lender control while allowing each tranche to be priced, amortized, and managed according to its specific asset risk and repayment profile.

The underlying collateral pools exhibit materially different characteristics and exit paths. Phase III lots are presold and expected to amortize through rolling takedowns; Restaurant Row retail is subject to lease-up and refinance risk; and the townhome land and construction exposure carries longer-duration execution and absorption risk. Economically segmenting the facility preserves proper risk-based pricing, repayment mechanics, covenant calibration, and workout flexibility without sacrificing administrative efficiency.

Given the fast-pay potential of the lot collateral, the Phase III tranche should include a **Minimum Interest or Yield-Protection Mechanism** to ensure the lender is adequately compensated for early repayment risk and for the control value provided to the broader facility.

A blended unitranche structure would obscure asset-level risk differences, create implicit subsidies across collateral types, and reduce transparency in ongoing asset management. A multi-tranche structure under one facility more accurately reflects the economic reality of the project while preserving cross-collateralization, unified enforcement rights, and a streamlined borrower interface.

STRENGTHS

- Prime location — Westlake, TX; one of the wealthiest zip codes in the US
- Low LTV on Phase III (~41% on lots + parking) and Restaurant Row (27%)
- All 51 Phase III lots already under contract — demand validated
- 90-day contractual takedown pace with EMD forfeiture mechanic
- Horizontal development substantially complete; minimal completion risk
- 1st lien position across all three collateral pools
- Blended all-in yield 11-12%+ with fees; strong risk-adjusted return
- Multiple independent repayment sources; not single-asset risk
- Sponsor has deep operational history at Entrada master plan
- Strong as-complete coverage: $116M+ collateral vs. $20M loan (~17% LTV)

RISKS & MITIGANTS

- Completion contingent on streetlight activation + Town of Westlake sign-off
- Takedown timing: purchase contracts lack hard calendar dates
- EMDs already released to developer — no cash backstop on buyer default
- Buyer mix includes smaller regional builders and individual purchasers
- Tax reserve % not yet confirmed by sponsor
- Prior lender (Goldstone) is in default / accelerated
- Restaurant Row requires lease-up for refi exit (market-dependent)
- TH construction exposure: cost overruns, labor availability, materials
- TH absorption risk: luxury TH product in tight high-end submarket
- Interest rate risk: floating SOFR — partially offset by 11% floor

•Lender is waiting on the following DD Items:
(1) Final Town of Westlake approval letter post-streetlight activation
(2) Updated title commitment and payoff statements for all existing liens
(3) Sponsor confirmation of tax reserve assumptions and net proceeds waterfall
(4) Executed purchase agreement amendments confirming closing timelines
(5) Bolour payoff confirmation and release of existing liens at closing